

Joining together

The idea of joint ownership of a business had been around before the Industrial Revolution, when businesses got together to form companies to trade internationally. When manufacturing industries began producing goods on a large scale, it made sense for people to go into partnership to raise the necessary money, and to share the profits. Of course, small businesses continued to exist, such as individual craftspeople and store owners or people employing a small workforce. Some even formed small private companies in which each person had a share of the business. The large factories and mills mass-producing goods and employing large numbers of people often needed to raise considerable sums of money to finance their businesses, and offered shares in their companies to the public. By buying shares in public companies, known as corporations, investors provide the company with money to buy buildings and machinery, and to pay workers. In return, they receive a share of the profits, known as dividends. Shareholders are also given a say in how the business is run, normally through voting at meetings when the company directors are appointed.